

Duolingo Analysis

Ticker: DUOL | January 5th

Market Cap: \$8.56B

Looking for signs of an undervalued company (identifying improvement, not perfection)

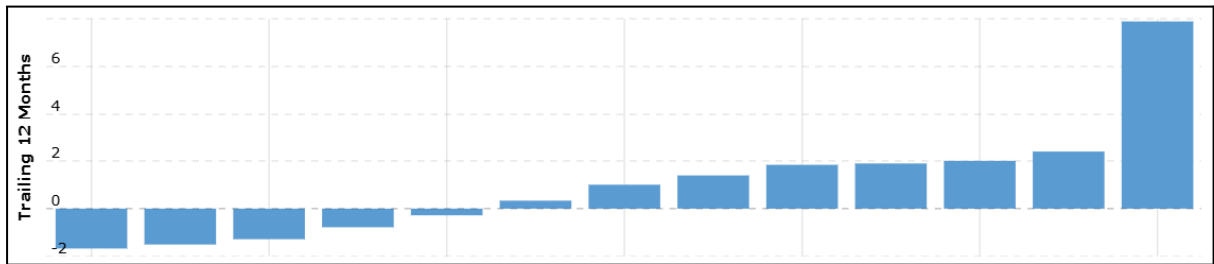
Grading System

Grade	Position Size
85+	2.5%
80-84	2%
75-79	1.5%
70-74	1%
65-69	0.5%
Less than 65	Avoid

Fundamentals:

Earnings Trend TTM - Shows profitability growth

Loss narrowing/near break even: 10 points	First profitable year: 8 points	Stable profitability: 5 points	Deepening losses: 0 points
---	---------------------------------	--------------------------------	----------------------------



Duolingo shows a stable and rising EPS growth. However, due to its existing history of positive and growing EPS, it shows that profitability is likely already factored into the stock price. It earns 5 points in this category.

Institutional Ownership - In before the big players, but not entering value traps

25-40%: 10 points	40-60%: 6 points	Over 60% or under 25%: 0 points
-------------------	------------------	---------------------------------

Breakdown	
0.82%	% of Shares Held by All Insider
105.49%	% of Shares Held by Institutions
106.37%	% of Float Held by Institutions
747	Number of Institutions Holding Shares

With an institutional ownership of 105.49%, this signifies that short selling is occurring between investors and it has already been discovered by institutional investors, limiting the future growth potential. It earns 0 points in the category.

P/B vs Industry - Shows over/undervaluation compared to industry

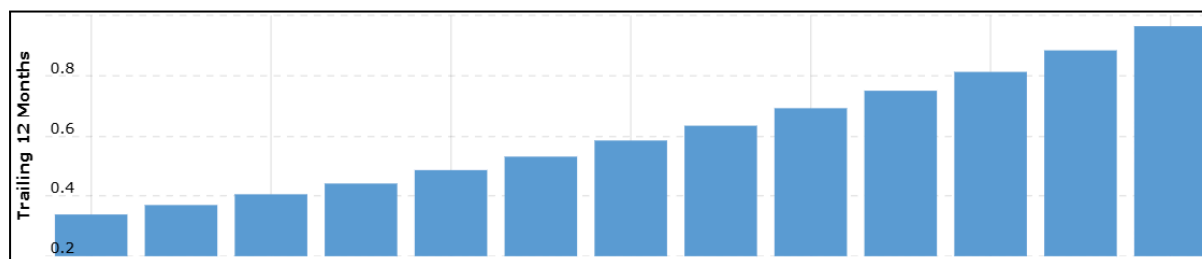
30-60% below peers: 10 points	10-30% below peers: 8 points	Within 3%: 5 points	Above peers: 0 points
-------------------------------	------------------------------	---------------------	-----------------------

P/E	23.54
Forward P/E	42.50
PEG	1.03
P/S	8.86
P/B	6.53

With a P/B ratio of 6.53, Duolingo is 2.2% above its industry average of 6.39. It earns 5 points in this category.

Revenue Growth Trend YoY - Shows revenue growth over the years

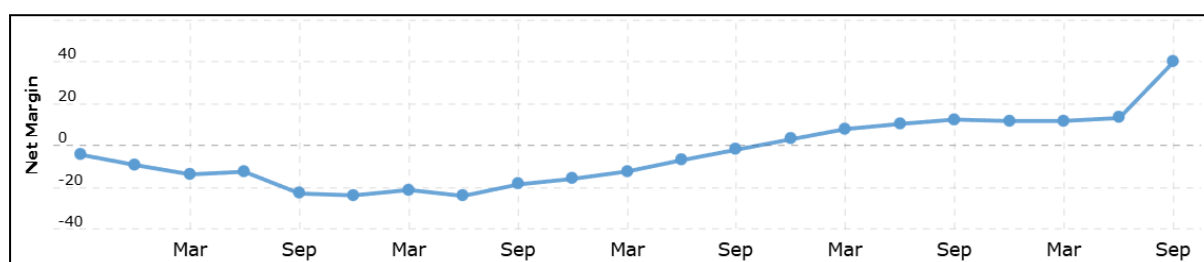
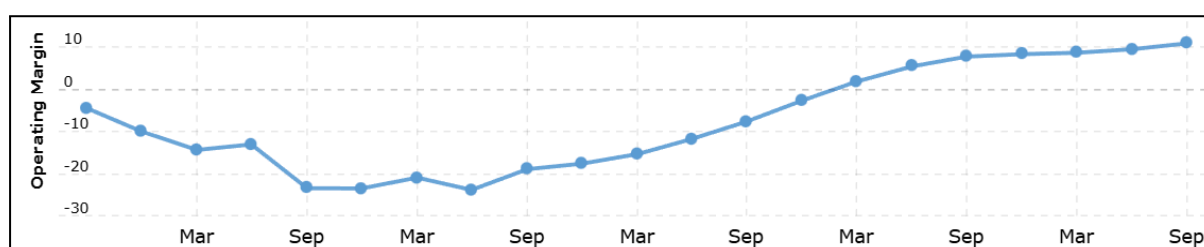
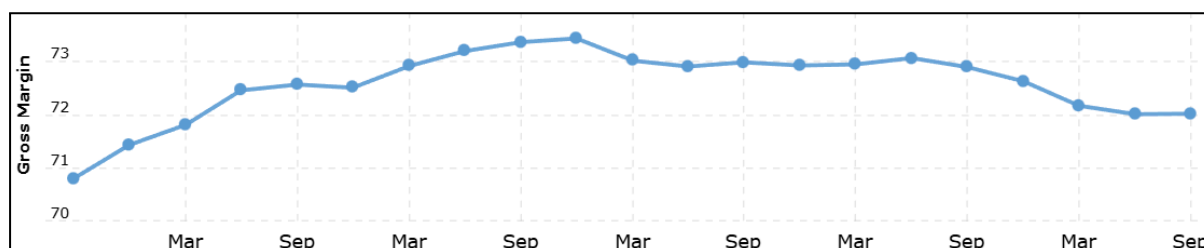
Negative to flat to positive: 10 points	Explosive growth (30%+): 8 points	Stable 10-15% growth: 5 points	Declining: 0 points
---	-----------------------------------	--------------------------------	---------------------



Duolingo displays strong revenue growth, increasing its revenue by 45% from 2022 to 2023, 44.6% from 2023 to 2024, and 39% from 2024 to 2025. It earns 8 points in this category as it shows explosive growth, however due to its existing growth, its revenue growth is likely already factored into the stocks evaluation.

Margin Expansion - Shows a company is keeping more money from each sale

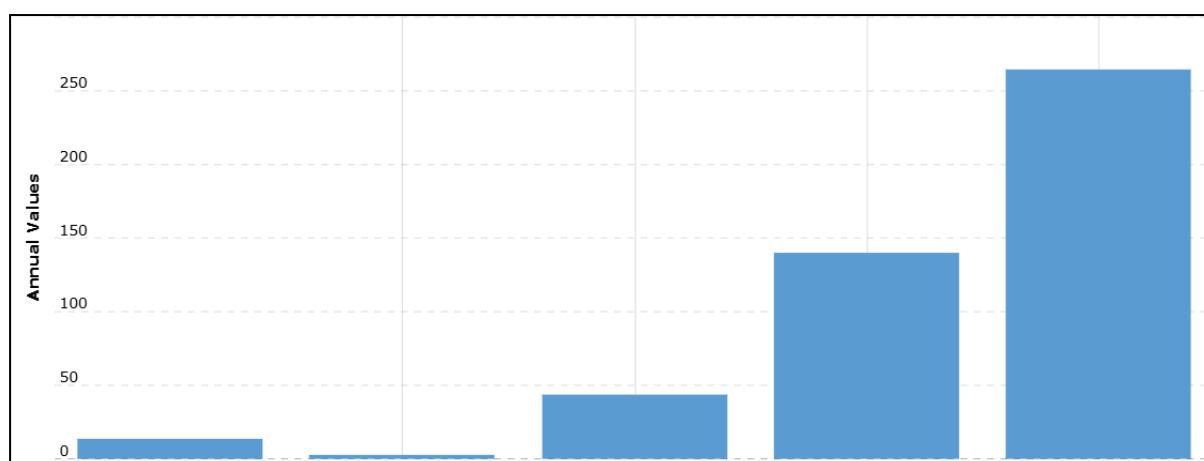
Expanding over 3% YoY: 10 points	Stable and rising: 7 points	Flat/declining: 0 points
-------------------------------------	-----------------------------	--------------------------



Despite Duolingo's 1.1% decrease in its gross margins in the last 12 months, its strong 3.3% increase in operating margins and 27.4% increase in net margins displays strong margin expansion, earning it 10 points in this category.

Free Cash Flow - Shows how much cash the company has left after its costs

Recently turned positive: 10 points	Stable: 6 points	Negative but improving: 3 points	Negative: 0 points
--	------------------	-------------------------------------	--------------------



Duolingo’s free cash flow over the last five years is continuously growing upwards, signaling stable growth. It earns 6 points in this category

Bonus

Inside activity: 10 points	Short interest dropping 10%: 10 points	Product/Contract news: 10 points
----------------------------	--	----------------------------------

REPORT DATE	TOTAL SHARES SOLD SHORT	DOLLAR VOLUME SOLD SHORT	CHANGE FROM PREVIOUS REPORT
12/15/2025	4,970,210 shares	\$924.31 million	-8.1%
11/28/2025	5,405,604 shares	\$1.01 billion	+0.8%
11/14/2025	5,364,843 shares	\$992.87 million	+16.8%
10/31/2025	4,594,054 shares	\$1.24 billion	+19.1%
10/15/2025	3,860,000 shares	\$1.32 billion	+2.4%

Duolingo earns 10 bonus points for its 43% decrease in short interest over two months.

Duolingo’s Fundamental Score: 44/60

Technicals:

Support/Resistance Zones - Shows key zones where trends may reverse

Bounced off lowest support (at least 5%): 9 points	Broken through lowest resistance or second support: 6 points	Midway between support and resistance: 4 points	Below lowest support or above highest resistance: 0 points
--	--	---	--



Based on Duolingo's one year chart, there is a support line at \$167.72 and \$266.62. There are key resistance lines at \$349.56, \$445.53, and \$541.11. At its current price of \$185.15, Duolingo has started to bounce off of its lowest support line by 10.4%. It earns 9 points in this category as it demonstrates a strong trend reversal.

Chart Pattern - Identifies bullish or bearish trend reversals

Cup & handle, bullish flag, bullish triangle, or bullish wedge: 8 points	Double bottom or base breakout: 4 points	Range-bound but tightening: 2 points	No chart pattern or bullish pattern: 0 points
--	--	--------------------------------------	---

Duolingo is currently in a falling wedge pattern following a strong downtrend. This suggests that the bearish momentum is slowing down. To add to this, bullish momentum has begun to break the price out of the wedge range. This earns Duolingo 8 points in this category.

Price vs MAs - Compares current price to the average price during that period

Price near 200MA base: 8 points	Price over 200MA but under 50MA: 5 points	Price over 50MA: 3 points	Price under 200MA: 0 points
---------------------------------	---	---------------------------	-----------------------------



A golden cross has formed on January 5th, indicating that bullish momentum is increasing. However, the price has since fallen under the 50MA. It gets 5 points in this category.

RSI (14) - Determines if it is overbought or oversold using the magnitude of price changes

0-30: 7 points	30-45: 4 points	40-55: 2 points	Over 70: 0 points
----------------	-----------------	-----------------	-------------------



With an RSI of 32, Duolingo is considered oversold. This means the stock is potentially undervalued and bullish sentiment may overtake bearish momentum. It gets 4 points in the category.

Volume - Shows how many shares are traded during the period

Rising volume for 3+ green days: 8 points	Rising volume: 6 points	High volume breakouts: 3 points	Declining/flat volume: 0 points
---	-------------------------	---------------------------------	---------------------------------



Duolingo has had several high volume breakouts in the last five days, however, it has been sporadic and has not maintained bullish volume. It earns 3 points for this category.

Duolingo's Technical Score: 29/40

Duolingo's Final Score: 73/100

Duolingo displays strong fundamentals through explosive revenue growth, impressive margins expansion, stable free cash flow, and a decrease in short interest. It also shows relatively strong technicals through its chart pattern and resistance levels, however, its lack of volume signifies weaker bullish momentum.

Final analysis of Duolingo: A moderate buy with a price target of \$266.62 (+44%).